

5.1 Appropriate forms of ownership for business start-ups

□ Sole trader □ Partnership, including limited liability partnerships □ Private Limited Company (Ltd) □ Franchise □ Features of each form of ownership ▪ Ownership ▪ Liability ○ limited ○ unlimited ▪ Responsibility for decision making ▪ Distribution of profit to the owners	To include: • Relative advantages and disadvantages of each form of ownership • A definition of limited and unlimited liability and the implications of each for a new business. To include the advantages and disadvantages of limited and unlimited liability for the business and owners • The responsibility for decision making may belong not only to the owners, but others such as franchisors etc Guidance: • Franchise – while franchise may not be considered a true form of ownership in the same way as the other forms of ownership listed, it is important that students understand the concept of a franchise, as it is a realistic operational model for business start-ups Does not include: • Public limited companies • Detailed knowledge of the steps involved in creating a new business, e.g. contents and names of the documents to send to Companies House
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